Dodd-Frank Summary The Dodd-Frank Wall Street Reform and Consumer Protection Act (2010) is the most comprehensive legislative reform of the U.S. financial sector since the 1930s, enacted in response to the 2008 financial crisis. Primary Goal: To promote financial stability by addressing the causes of the financial crisis, ending "too big to fail" bailouts, and protecting consumers. Key Provisions: Financial Stability Oversight Council (FSOC): Created to identify and respond to emerging risks to U.S. financial stability, especially from large, interconnected financial companies. Orderly Liquidation Authority (OLA): Provides a safe way for regulators (FDIC) to take over and liquidate large, complex financial companies without taxpayer-funded bailouts (requires "living wills" or resolution plans). Consumer Financial Protection Bureau (CFPB): Created as an independent watchdog within the Federal Reserve to implement and enforce consumer financial protection laws for products like mortgages, credit cards, and payday loans. Volcker Rule (Proprietary Trading): Prohibits banks and certain affiliated entities from engaging in short-term proprietary trading and limits their investments in hedge funds and private equity funds. Derivatives Regulation: Mandates more derivatives to be cleared and traded through regulated exchanges to increase transparency and reduce counterparty risk.